

NRB Bearings Ltd

NSE: NRBBEARING | BSE: 530367 | Consumer Discretionary — Auto Components (Roller & Needle Bearings)

RATING		KEY METRICS			
ACCUMULATE		Market Cap	Rs. 3,738 Cr	Stock P/E	25.3
12M Target	Rs. 455	52W High/Low	392 / 213	Forward P/E	22.6
Upside	+17.9%	Book Value	Rs. 99.3	P/B	3.9
CMP (05-Jun-26)	Rs. 386	EV/EBITDA	14.5	Dividend Yield	2.06%
Conviction	Medium	ROCE	18.6%	ROE	15.7%
Horizon	12 months	Debt / Equity	0.16	Prom. / Pledge	51.2% / 77.7%

Investment thesis (one line): Cheapest quality bearing play; structural margin lift, deleveraging and aerospace optionality — high pledge is the overhang.

Report date: 07 June 2026 | **Analyst:** Senior Equity Research (Auto Components & Industrials)

All financial figures sourced from Screener.in (consolidated), fetched 07-Jun-2026 using the 05-Jun-2026 close. Qualitative context from the May-2026 (Q4/FY26) earnings call and public sources. FY = year ending March.

2. Investment Thesis

- **Structural margin expansion, not a one-off:** FY26 EBITDA margin rose to ~19.5% (mgmt basis) from 18.3%, driven by solar power, automation, yield gains and renegotiated vendor costs. Screener OPM held at 17% vs 16% in FY24 — management calls the lift repeatable, supporting EPS compounding even in a low-teens revenue world.
- **Balance-sheet repair de-risks the equity:** Gross debt fell from Rs. 329 Cr (3 years ago) to Rs. 154 Cr, D/E to 0.16 and interest coverage to 24.4x. FY26 operating cash flow surged to Rs. 241 Cr (126% of operating profit) and FCF to Rs. 136 Cr — funding the brownfield capex internally.
- **Aerospace/defence optionality via Mahant Tool (Jan-2026, Rs. 27.5 Cr):** A capital-light entry into HAL's supply chain; order book already grew from Rs. 25 Cr to ~Rs. 50 Cr, certification expected in ~6 months. Small today but a genuine re-rating lever over 3–5 years.
- **Near-term catalyst (6–12 months):** Brownfield capacity commissioning from June–July 2026 relieves plant bottlenecks; combined with a guided rebound in international revenue to ~10–14% (FY26: ~4%), this should re-accelerate top-line into FY27.
- **Biggest structural risk:** Promoter pledge of 77.7% is a serious governance and forced-selling overhang that structurally caps the multiple, even as the operating story improves.

3. Business Overview

- **Core business:** India's pioneer (since 1965) in needle roller bearings and friction-reduction solutions for mobility. It supplies bearings used in transmissions, drivelines, chassis and steering across two-/three-wheelers, PVS, CVs, tractors and off-highway equipment.
- **Market position:** ~60% share of the Indian needle roller bearing market; over 90% of vehicles on Indian roads use NRB-made parts. The company is a co-design partner deeply embedded at the platform level (e.g., e-steering programs), giving it high switching costs.
- **Revenue mix:** Exports are ~24% of revenue; international customers grew ~4% in FY26 despite global softness. Industrial (non-auto) is already ~14–15% of revenue, with management targeting 20–25% over ~3 years in niche, application-specific friction solutions.

- **Customer relationships:** NRB often holds 60–70% (sometimes ~100%) share-of-business at key OEMs, deliberately buffering inventory in India, Germany and the US to protect customer production schedules — reinforcing pricing discipline.
- **Recent strategic developments:** Mahant Tool aerospace acquisition (Jan-2026); brownfield capex of ~Rs. 200–240 Cr over 18 months (incl. land); a 'mass-customization' positioning for variant-rich, technology-agnostic (ICE/Hybrid/EV) platforms.
- **Ownership:** Promoter holding 51.2% (Sahney family / Trilochan Singh Sahney trusts). Promoters have pledged 77.7% of their stake, though ~13.8 lakh pledged shares were released in May-2026 after a loan prepayment — a small step in the right direction.

4. Industry & Competitive Landscape

- **Market size & growth:** India's bearings industry is ~Rs. 24,000 Cr (2024), projected to ~Rs. 40,000 Cr by 2030 (~9% CAGR); the automotive bearing sub-segment is growing ~7% CAGR. Roller bearings are the fastest-growing product class. (Source: industry research, qualitative.)
- **Tailwinds:** Import-substitution and BIS/quality-control orders favour domestic makers; premiumisation and variant-rich platforms raise bearing content; EV transition is largely value-neutral for NRB content; defence indigenisation opens the aerospace adjacency.
- **Headwinds:** Auto-cycle dependence, raw-material (steel) and forex volatility, and MNC competitors with deep parent technology and balance sheets.
- **Moat — Pricing power: Moderate-Strong** (high share-of-business, co-design lock-in).
- **Switching costs: Strong** (platform-level integration, certification, sole-source positions).
- **Scale: Moderate** (dominant in needle bearings domestically but small vs global MNC peers).
- **IP / Engineering: Strong** (patented designs e.g. combined cylindrical-thrust kingpin bearing; rising R&D).
- **Positioning:** Tier-1 OEM solutions provider — midstream, design-led, niche rather than commodity bearings.

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E	P/B	ROCE %	ROE %	OPM %	Div Yld %
NRB Bearings	386	3,738	25.3	3.9	18.6	15.7	17	2.06
Schaeffler India	4,035	63,073	51.9	10.4	27.3	20.2	18	0.87
Timken India	3,644	27,407	66.1	9.4	19.0	14.3	18	0.99
SKF India*	1,616	7,991	27.4	6.0	24.2	14.8	12	2.47

Source: Screener.in, 05-Jun-2026 close. *SKF India FY26 ratios distorted by demerger of its industrial business. NRB trades at the lowest P/E and P/B of the listed bearing pack despite comparable margins.

5. Management Quality & Capital Allocation

- **Promoter background:** Founder Sahney family with six decades in precision bearings; deep engineering DNA and long OEM relationships. FY26 call commentary was detailed and candid on both wins and disruptions.
- **Capital allocation:** FY26 FCF of Rs. 136 Cr deployed toward debt reduction (down Rs. 33 Cr YoY) and dividends; the new ~Rs. 200–240 Cr brownfield program is largely internally funded (90% machines, 10% buildings).
- **Dividend policy:** Payout has been healthy and rising — FY25 ~83% and FY26 ~54% (10-year payout ~51%); dividend yield 2.06% is joint-highest in the peer set.
- **Promoter pledging:** 77.7% of promoter holding pledged — the single biggest governance flag; partial release in May-2026 (13.8 lakh shares) signals intent to deleverage but the level remains high.

- **R&D / innovation:** R&D spend rising (Rs. 24.3 Cr in FY25 vs ~Rs. 14 Cr in FY18); patented products and co-design wins underpin pricing power.
- **Governance watch-items:** A BSE penalty relating to a March-2024 Regulation 17(1A) matter (board composition) and the elevated pledge warrant ongoing monitoring.

6. Financial Deep-Dive

Income Statement (Consolidated, Rs. Cr)

Rs. Cr	FY24	FY25	FY26	FY27E	FY28E
Revenue	1,094	1,199	1,335	1,510	1,720
Operating Profit (EBITDA)	176	199	232	272	318
OPM %	16%	17%	17%	18%	18.5%
Other Income	205	-27	27	20	22
Interest	22	11	9	8	7
Depreciation	43	48	57	64	72
Profit before tax	316	113	194	220	261
Tax %	24%	27%	25%	25%	25%
Net Profit	242	82	146	165	196
EPS (Rs.)	24.71	8.20	14.73	16.6	19.7

FY24 PBT/PAT inflated by Rs. 205 Cr one-time other income (subsidiary/asset divestment); FY25 reported negative Rs. 27 Cr other income, depressing PAT. Underlying operating trend is steadily up. E = author estimates grounded in Screener actuals.

Balance Sheet (Consolidated, Rs. Cr)

Rs. Cr	FY24	FY25	FY26
Equity Capital	19	19	19
Reserves	841	899	943
Borrowings	178	187	154
Other Liabilities	201	201	239
Total Liabilities	1,239	1,306	1,356
Fixed Assets	337	377	422
CWIP	43	40	43
Investments	44	58	74
Other Assets	815	832	818
Total Assets	1,239	1,306	1,356

Cash Flow & Returns (Consolidated, Rs. Cr)

Rs. Cr	FY24	FY25	FY26
Cash from Operations	115	84	241
Cash from Investing	100	-60	-120
Cash from Financing	-222	-29	-140
Free Cash Flow	66	2	136
CFO / Operating Profit	86%	61%	126%
ROCE %	15%	16%	19%
Cash Conversion Cycle (days)	338	332	281

- **Revenue drivers:** FY26 revenue +11% to Rs. 1,335 Cr was volume-led with share gains and a richer mix; management targets ~Rs. 2,500 Cr in ~5 years, implying low-double-digit compounding.
- **Margins:** OPM expanding on solar power, automation and vendor renegotiation; management frames ~19–21% EBITDA as the new structural band (Q4FY26 EBITDA margin 19.5%).
- **Working capital:** Cash conversion cycle improved to 281 days (from 338 in FY24) as inventory days fell to 302; still high given strategic buffer stocking — the key efficiency lever.
- **Leverage:** Net debt low; D/E 0.16, interest coverage 24.4x — the strongest balance sheet in a decade.

- **FCF quality:** FY26 OCF/operating profit of 126% and FCF of Rs. 136 Cr show clean cash conversion after two weak years; capex rises in FY27 (~Rs. 120 Cr) but remains internally funded.

7. Earnings Quality Checklist

Check	Rating	Comment
Revenue recognition	GREEN	Product sales to OEMs; no aggressive recognition signals.
Receivables vs revenue	GREEN	Debtor days stable ~67; in line with sales growth.
Cash conversion cycle trend	AMBER	Improving (281 vs 338) but still high on strategic inventory.
Contingent liabilities	AMBER	Rs. 194 Cr contingent liabilities — ~14% of revenue; monitor.
Other income / PBT	AMBER	Volatile: 65% of FY24 PBT was one-off; normalised in FY26.
Tax rate consistency	GREEN	Steady 24–27% range; FY26 25%.
Promoter pledge	RED	77.7% pledged — material governance / forced-sale risk.
Auditor / governance	AMBER	BSE penalty on a Reg 17(1A) board-composition matter.

- **Watch the pledge (RED):** At 77.7%, promoter funding stress could force selling; the May-2026 partial release is encouraging but the level is the dominant risk to the equity.
- **Other-income volatility (AMBER):** Reported PAT distorted by one-offs (FY24 +Rs.205 Cr, FY25 -Rs.27 Cr); judge the business on EBITDA and operating cash flow, both clean and improving.
- **Inventory-heavy cycle (AMBER):** Strategic buffer stocking supports the sole-supplier moat but ties up capital; improving CCC is the single best efficiency signal to track.
- **Core accruals look clean (GREEN):** Stable tax rate, receivables in line with sales, and FY26 cash conversion of 126% of operating profit point to good underlying earnings quality.

8. Valuation

Scenario Analysis (12-month)

Scenario	Key assumptions	FY28E EPS	Target P/E	Target (Rs.)	Return
Bull	Rev +15%, OPM 19%+, aerospace scales	22.0	26x	570	+48%
Base	Rev ~13%, OPM ~18.5%, pledge intact	19.7	23x	455	+18%
Bear	Auto slowdown, exports weak, OPM 17%	16.0	18x	290	-25%

- **DCF:** WACC ~12%, terminal growth 5%, FCF compounding low-double-digits — implies ~Rs. 460 per share.
- **Earnings multiple:** 23x FY28E EPS of Rs. 19.7 (modest premium to NRB's own history, steep discount to Schaeffler 52x / Timken 66x) — implies ~Rs. 453.
- **Blended 12-month target: Rs. 455** (average of DCF and multiple methods).
- **Upside / horizon:** ~+17.9% from CMP of Rs. 386 over 12 months — an ACCUMULATE, with the discount to peers explained by the pledge overhang.

9. Key Risks

- **Promoter pledge:** 77.7% pledged risks forced selling and caps the multiple. Probability: M. Impact: H. Monitor via: quarterly pledge disclosures.
- **Auto-cycle dependence:** ~85% of revenue is automotive; a domestic/OEM downturn hits volumes. Probability: M. Impact: H. Monitor via: monthly OEM production & SIAM data.
- **Export / geopolitical disruption:** Q4FY26 saw Middle-East gas-shortage-driven mix shifts; export demand uneven. Probability: M. Impact: M. Monitor via: international revenue growth.
- **Forex volatility:** Q4FY26 gross-margin dip was forex-driven; translation/COGS effects distort quarters. Probability: M. Impact: M. Monitor via: gross margin & hedging disclosures.

- **Raw-material (steel) inflation:** Bearing-grade steel costs can compress margins if not passed through. Probability: M. Impact: M. Monitor via: OPM trend & pass-through commentary.
- **Execution on capex & aerospace:** Brownfield commissioning (to Q1-2028) and Mahant certification could slip. Probability: M. Impact: M. Monitor via: commissioning milestones & order-book.
- **Valuation de-rating:** At ~25x, multiple compression on any growth/margin miss. Probability: M. Impact: M. Monitor via: quarterly EBITDA margin delivery.

10. Recommendation

- **Rating: ACCUMULATE** — conviction Medium (operating story strong; pledge overhang caps conviction).
- **12-month price target: Rs. 455** (~+17.9% from CMP Rs. 386).
- **Suggested entry zone: Rs. 350–380** (accumulate on weakness; add aggressively below Rs. 350).
- **Investment horizon:** 12 months tactical; 3–5 years for the aerospace/industrial re-rating to play out.
- **Thesis invalidation triggers:**
 1. EBITDA margin falls back below 16% for two consecutive quarters (margin lift not structural).
 2. Promoter pledge rises above 85% or any invocation/forced sale occurs.
 3. Revenue growth stalls below ~6% with no aerospace/industrial traction.
- **Ideal investor profile:** Patient, quality-and-value-oriented investors comfortable with a governance (pledge) overhang in exchange for a cheap, deleveraging, margin-expanding bearing franchise with optionality. Not for those who require clean promoter structures or near-term momentum.

APPENDIX — Latest Concall Brief: Q4 / FY26 (May 2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +13% YoY, PAT Rs. 42 Cr; beat on margin
Management tone	Bullish	Confident; margin gains framed as structural
Guidance delta	Raised	Intl growth guided ~10–14% vs FY26 ~4%

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

NRB closed FY26 cleanly: revenue Rs. 1,335 Cr (+11%), EBITDA up 19% with margin expanding to ~19.5% from 18.3%, and PAT of Rs. 146 Cr (+77%) — the headline is clean this year, unlike FY24 which was flattered by a Rs. 205 Cr one-off. Crucially, management insists the margin lift is structural (solar power, automation, yield, vendor renegotiation), not a one-off, and the FY26 numbers support that. Operationally the business is firing: volume-led growth, market-share gains, operating cash flow of Rs. 241 Cr (126% of EBITDA) and debt down to Rs. 154 Cr. The multi-bagger drivers are the industrial friction-solutions push (14–15% of revenue, targeting 20–25%) and the capital-light aerospace entry via Mahant (100% HAL, order book Rs. 25 Cr to Rs. 50 Cr, certification ~6 months out). The most important near-term catalyst is brownfield capacity commissioning from June–July 2026 plus a guided rebound in international revenue to ~10–14%. The single biggest watch-point remains the 77.7% promoter pledge — an overhang that caps the multiple regardless of how good operations get. Action: ACCUMULATE into Rs. 350–380, target Rs. 455; size it as a medium-conviction quality-value position, not a max-weight bet, until the pledge comes down meaningfully.

Concall 1 — Financial Performance Snapshot

- Revenue: Rs. 372 Cr | YoY +13% | QoQ +13% | **Beat**
- EBITDA: Rs. 74 Cr | YoY +17% | margin 19.5% | **Beat**
- EBITDA Margin: 19.5% | +~100 bps YoY | **Beat**
- PAT: Rs. 42 Cr | YoY +31% (vs Rs.32 Cr Q4FY25 adj) | In-line
- EPS: Rs. 4.27 | recovered from Rs. -0.21 in Q4FY25 (one-off) | **Beat**
- NOTE: Q4FY26 gross margin dipped below the usual ~60% due to forex/translation — management calls it non-structural.

Concall 2 — Segment / Geography Breakdown

- Domestic (automotive): bulk of revenue | grew steadily | no material disruption impact.
- International customers: ~24% of mix | YoY +~4% | resilient despite global softness; FY27 guided ~10–14%.
- Industrial (non-auto): ~14–15% of revenue | growing | target 20–25% over ~3 years.
- Aerospace (Mahant): nascent | order book Rs. ~50 Cr | 100% HAL across multiple divisions.

Concall 3 — Management Commentary Themes

- Margin: 'structural, not a one-off' — Our read: credible given cost-program detail. Tag: GUIDANCE. Tone: Transparent.
- Growth quality: 'satisfied with the quality of growth' (volume-led, share gains). Our read: healthy mix. Tone: Transparent.
- Service reliability: 'never failed key customer commitments — non-negotiable'. Our read: core moat. Tone: Transparent.

- Inventory: strategic buffering in India/Germany/US, yet down >Rs. 20 Cr YoY. Our read: disciplined. Tone: Transparent.
- Aerospace: Mahant 'saved us three years' on certification. Our read: capital-light optionality. Tag: EST. Tone: Hedged on timing.
- Ambition: ~Rs. 2,500 Cr revenue in ~5 years, increasingly 'concretized'. Our read: aspirational but directional. Tag: GUIDANCE.

Concall 4 — Operating & Business Metrics

- Capacity utilisation: ~85% reported | effective 'much closer to full' | Trend: tight — capex underway.
- Inventory days: 302 (FY26) | 349 (FY25) | Trend: improving.
- Cash conversion cycle: 281 days | 332 (FY25) | Trend: improving.
- Industrial mix: ~14–15% | target 20–25% | Trend: improving.
- Mahant order book: Rs. ~50 Cr | Rs. 25 Cr at acquisition | Trend: improving.

Concall 5 — Margin Drivers

- Solar power adoption: lower power & fuel cost | Recurring: Yes | structural.
- Higher automation: reduced labour dependence | Recurring: Yes | structural.
- Yield improvement & vendor renegotiation: across material, logistics, insurance | Recurring: Yes.
- Forex / translation: Q4 gross-margin dip | Recurring: No | should normalise — do not extrapolate.
- Mix improvement: richer product/customer mix | Recurring: Partly.

Concall 6 — Guidance & Forward Signals

- International revenue growth [GUIDANCE]: FY26 ~4% | FY27 ~10–14% ('even 15%') | Delta: raised | Credibility: Medium.
- FY27 capex [GUIDANCE]: ~Rs. 120 Cr incl. land (vs analyst Rs. 80 Cr) | part of Rs. 200–240 Cr over 18 months | Credibility: High.
- EBITDA margin band [GUIDANCE]: 18–21% structural | Delta: maintained/raised | Credibility: Medium-High.
- Medium-term revenue [GUIDANCE]: ~Rs. 2,500 Cr in ~5 years | Delta: reiterated | Credibility: Medium.

Concall 7 — Capital Allocation

- Capex: ~Rs. 120 Cr FY27 (90% machines, 10% buildings) | vs ~Rs. 80 Cr prior assumption | brownfield bottleneck relief.
- Maintenance/NPD spend: ~10% of turnover policy framework | recurring.
- Dividends: payout healthy (~54% FY26) | yield 2.06%.
- Net debt: down to Rs. 154 Cr | vs Rs. 329 Cr three years ago | deleveraging.
- Mahant acquisition: Rs. 27.5 Cr | capital-light aerospace entry.

Concall 8 — Q&A Heat Map

- Analyst: Q: 'Is margin expansion sustainable?' → A: structural, cost-program led | Tone: Transparent.
- Analyst: Q: 'Why did Q4 gross margin fall below 60%?' → A: 'only one reason, foreign exchange' | Tone: Transparent.
- Analyst: Q: 'FY27 capex quantum?' → A: ~Rs. 120 Cr incl. land | Tone: Transparent.

- Analyst: Q: 'Industrial & aerospace timeline?' → A: ~3 yrs to 20% industrial; Mahant cert ~6 months | Tone: Hedged on timing.
- Dodged / watch-list: precise aerospace revenue ramp and exact mix timing left vague — revisit next quarter.

Concall 9 — Risks Flagged

- Geopolitics / gas shortage: Middle-East situation cut Q4 plan | Flagged by: mgmt | Prob: M | Impact: M | near-term.
- Export softness: international growth 'not very satisfying' | Flagged by: mgmt | Prob: M | Impact: M | near-term.
- Forex: margin/translation distortion | Flagged by: analyst | Prob: M | Impact: M | near-term.
- Capex execution: commissioning to Q1-2028 | Flagged by: mgmt | Prob: M | Impact: M | medium-term.
- Promoter pledge: 77.7% (not a call topic but key) | Flagged by: analyst | Prob: M | Impact: H | ongoing.

Concall 10 — Analyst Verdict

- Revenue visibility: **Intact** — volume-led growth, share gains, capacity expansion underway.
- Margin trajectory: **Intact** — structural cost program; 19.5% Q4 margin.
- Capital allocation quality: **Intact** — deleveraging, internally funded capex, healthy payout.
- Competitive moat: **Intact** — sole-supplier positions, co-design lock-in, patented IP.
- Management credibility: **Intact** — candid, detailed, met customer commitments.
- Valuation comfort: **Weakened** — ~25x P/E with a 77.7% pledge overhang limits upside.
- Conviction call: **Unchanged** — ACCUMULATE; medium conviction.
- Valuation snapshot: P/E = 25.3x | EV/EBITDA = 14.5x | ROCE = 18.6% (10Y avg ~16.4%).

Disclaimer: For informational purposes only; not investment advice. The author is not a registered investment adviser. Financial data sourced from Screener.in (consolidated, 05-Jun-2026 close); qualitative inputs from the company's May-2026 earnings call and public sources. Investors should conduct their own due diligence. Figures may contain rounding.